

HOW STRUCTURAL DECOUPLING FACILITATES ORGANIZATIONAL MISCONDUCT

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Organizational misconduct may be the best-documented corporate phenomena of the past two years. The accounting practices of companies like Enron, WorldCom, and Tyco have transcended the finance journals and infiltrated dinnertime conversation across the country. Given the apparent ubiquity of organizational misconduct and the enormous power of large organizations to affect individual lives for better *and* worse, it is critical that researchers develop theoretical models that accurately explain, predict and ultimately help control organizational misconduct.

The purpose of this study is to further our understanding of organizational misconduct through qualitative analysis of widespread and entrenched deceptive sales practices at a large life insurance company. Building upon an emerging theoretical viewpoint that organizational misconduct research should incorporate a symbolic perspective, my findings illuminate how organizational compliance structures that are decoupled from other core business functions generate frames that de-legitimize rules and legitimize rule-breaking. Decoupling the compliance function from core business activities creates a “paradox of legitimacy” that allows the company to meet the regulatory demands of its external, institutional environment but simultaneously marginalizes the compliance function in the eyes of important internal organizational constituents.

THEORIZING ORGANIZATIONAL MISCONDUCT

Organizational misconduct is theoretically defined as “acts of omission or commission committed by individuals or groups of individuals acting in their organizational roles who violate internal rules, laws, or administrative regulations on behalf of organizational goals” (Vaughan, 1999: 288).

Studies of organizational misconduct have typically been concerned with why misconduct occurs. The prevailing model of organizational misconduct posits that characteristics of the business environment and of the organization combine to create scarcity and/or blocked access to needed resources, creating pressure on the organization to violate laws and/or norms and the opportunity to do so without detection (Baucus, 1994; Vaughan, 1983). Given the combination of enough pressure and opportunity, it predicts that organizations pursue illegitimate avenues to gain resources. The pressure/opportunity theoretical explanation rests upon the assumption that organizational actors are amoral rational calculators: when faced with blocked access to or scarcity of resources, organizational members perform some mental calculus by which they weigh the benefits of misconduct against the costs of such rule breaking. If the benefits of rule breaking outweigh the costs, misconduct is the chosen course of action, engaged in without checking a moral compass (Finney & Lesieur, 1982).

While a number of studies note the empirical inconsistencies in the research that tests the cause-and-effect relationships between rates of organizational misconduct and variables

representing pressure and opportunity (see Jones, 1997), the processes by which misconduct occurs in organizations remains surprisingly under-explored. The mixed empirical findings in the extant literature suggest a need for research that explores these processes in order to develop a better understanding of the phenomenon itself.

SYMBOLIC INTERACTIONISM AND ORGANIZATIONAL MISCONDUCT

Symbolic Interactionism (SI) is a useful theoretical perspective for developing a richer understanding of the processes that facilitate organizational misconduct. SI suggests that individuals act on their socially constructed view of the world (their “definition of the situation”), that definitions are created over time and via social interaction, and that definitions become sedimented into taken-for-granted social facts. These sedimented meanings create enduring patterns of action and structure (Blumer, 1969; Fine, 1992). From this perspective, researchers assume that misconduct is driven by the way issues related to misconduct are socially constructed or framed within the organization, and that organizational misconduct can be best understood by analyzing the related symbolic processes that are sedimented into the organizational culture.

While the pressure/opportunity model assumes that individuals rationally and amorally weigh costs and benefits associated with misconduct in pursuit of organizational goals, SI emphasizes how organizations “help structure an employee’s social world, marking some illicit activities off as strictly condemned, but making others appear so normal and unexceptional that their legal status passes almost unnoticed” (Coleman & Ramos, 1998: 30).

Working from an SI perspective, I question how rules and rule breaking are framed in an organization where misconduct is widespread and explore the relationship between these frames and organizational misconduct. I explore this question by qualitative analysis of deceptive sales practices at Acme Insurance Company (a pseudonym), a large North American life insurer, which occurred roughly over a decade, between 1985-1995.

DECEPTIVE SALES PRACTICES AT ACME INSURANCE COMPANY

Acme is a widely recognized financial services organization for which life insurance is a flagship product. In the early to mid-1990’s, the life insurance industry was embroiled in a deceptive sales practices scandal. As the largest and most recognizable company in the industry, Acme was at the center of this scandal and was the focus of a national regulatory investigation into its sales practices. The national commission of life insurance regulators reported in the late 1990s that the use of deceptive sales practice was widespread at Acme from the mid 1980’s through the early 1990’s; that individuals at all levels of management were aware of the practice, and that Acme had failed to appropriately supervise sales practices and discipline rogue agents and sales managers.

METHODS

The data for this study come from three different sources. The primary source is archival data gathered by one Mid-Western state’s Attorney General’s office as part of a regulatory investigation into Acme’s sales practices. The complete files of this investigation contain quite varied documentation including depositions and sworn statements of Acme employees at various levels and divisions of the organization, audit reports, internal monitoring reports; personal

correspondence and memos, etc. The second source of data is a set of twenty interviews with former Acme sales agents and sales managers on the topic of deceptive sales practices. The third data source is the reported findings from the commission of insurance regulators who conducted the nation-wide investigation into Acme's sales practices.

I utilized grounded theory techniques (Glaser & Strauss, 1967) to induce theory from data.

FINDINGS

These findings demonstrate that at Acme, the sales practices compliance function was poorly integrated into the day-to-day operations of the sales force. The compliance function was decoupled from core business processes at Acme, unsupported by other organizational policies and functions such as training, monitoring, and discipline. My analysis suggests that the decoupled compliance function interacted with particular organizational frames of compliance and rule breaking in mutually reinforcing ways. This reinforcing cycle institutionalized deceptive sales practices by weakening both the structure and the legitimacy of the sales practices compliance function.

The following section first illustrates the organizational frames referred to above and then describes the decoupling of the compliance function at Acme from other important organizational activities.

Framing Compliance: The "Window Dressing" Frame

The sales practices compliance function at Acme (known simply as "compliance" within the organization) consisted of a program of rules and standards, training modules, monitoring systems, and disciplinary systems designed to ensure organizational compliance with external laws and regulations. Evidence indicates that elements of the compliance program (including rules, discipline, training, and monitoring) were framed as "window dressing," as an empty ritual performed as a matter of rote. One sales agent states: "It [compliance] was kind of like a formality."

The compliance function is disconnected from its original intent; the rules are devoid of substantive purpose and thus are marginalized by organizational members who share this frame. Robbed of significance, the rules are unthinkingly and easily violated.

Framing Rule Breaking: The "Beating the System" Frame

The violation of the internal rules and manipulation of the monitoring system at Acme was commonly framed as "beating the system," as the following quote demonstrates: "Because after six months, it wouldn't show up on a replacement register. So you'd beat the system internally. Just go out, rewrite, finance." Rule breaking wasn't framed as wrong or unethical, merely as finding a loophole in the system.

These frames had a de-legitimizing effect on the compliance structure at Acme: they marginalized and de-legitimized the compliance function in the eyes of the sales force, thus contributing to the use of the deceptive practices that violated these rules.

These de-legitimizing frames iteratively reinforced and were reinforced by Acme's compliance structure, which was decoupled from other day-to-day operations related to Acme's core activity: the sale of life insurance.

Decoupling Compliance Programs from Sales Activities at Acme

Organizational compliance functions can be either integrated into the day-to-day operations of an organization or decoupled from those operations. Integrated structures and functions “affect everyday decisions and actions; decisions are made in light of these policies...an integrated structure or policy is likely to be supported by other organizational policies and programs. Thus, managers and employees are held accountable to it, take note of it, and see it as having a valued role in the organization’s operations (Weaver, Trevino et al, 1999: 540). On the other hand, decoupled structures lack significant organizational power and authority; they are often implemented to satisfy the demands of external constituents such as regulators. Decoupling shields the core, day-to-day operations from the impact of the decoupled structure.

The compliance function at Acme was unsupported by other organizational policies or functions: it was poorly integrated into the day-to-day functions of the sales force. For instance, while sales training and monitoring occurred at least weekly in most agencies, compliance training was infrequent at best, compliance monitoring systems were ineffective, and discipline was not linked to conformity with rules in a way that fostered a sense of accountability, as evidenced by the following quotes:

“In the end, management did not properly monitor and train agents to ensure that sales practices were ethical and in the best interests of both the policyholder and the Company.”

“Well there was general consensus within the company that the agents were not being properly supervised.”

“There were complaints that were being handled by the individual who was perpetrating the crime. The way Acme would handle a complaint from a policyholder is they give it back to the guy who did it, and say ‘you fix this’. It was self-policing. ‘You’ve robbed the store, now go back in there, we’re going to trust that you’re not going to steal anything else, and make this right, okay?’”

The lack of substantive negative consequences associated with violations of compliance rules both fostered and reinforced the belief that sales practices compliance was an empty, powerless set of rules to be paid attention to in the most superficial way, to be treated as a formality.

In sum, the sales force was insulated from any significant impact compliance may have had on the sales process. The structure lacked organizational power and was disconnected from any important organizational activities. Externally, the structure appeared to meet the requirements of regulators. Internally, compliance was a matter of smoke and mirrors: framed as a superficial ritual devoid of substantive meaning.

DISCUSSION AND IMPLICATIONS

This research makes an important empirical statement: the way compliance rules and rule breaking are organizationally framed contributes to the incidence of organizational misconduct. Organizational misconduct can be either facilitated or discouraged by the context-specific, socially constructed definitions of the rules and rule-breaking. These findings are based on one case and thus come with the usual caveats regarding generalizability. However, the concepts of compliance, rules and rule-breaking are common to many if not most organizations, and future

research in this vein may find that compliance-related frames are an important key to explaining and predicting organizational misconduct.

The notion of the de-legitimizing power of frames extends Vaughan's theory of the normalization of organizational deviance (1999) by specifying that the framing of compliance facilitates organizational misconduct when compliance is framed as window dressing and when violating compliance rules are framed as beating the system.

These findings challenge the assumption embedded in the pressure/opportunity model that posits that organizational members are always rational actors behaving in amoral, calculating, profit-maximizing ways. Frames may either marginalize or lionize rule compliance, thus facilitating or constraining organizational misconduct on the part of organizational members. This work gives empirical support to researchers who have similarly theorized that the social construction of motivation and opportunity are important to understanding organizational misconduct (Coleman & Ramos, 1998).

This research does not tease out the relationship between structure and frames: it is unclear whether de-legitimizing frames were preceded by the decoupled compliance structure or vice versa. It does, however, suggest that structure and frames were mutually reinforcing. The decoupled structure reinforced the organizational frames that de-legitimized compliance via management practices that treated sales practices compliance as insignificant and something to be dealt with quickly and superficially, as an addendum rather than as part of the sales process. The compliance-related frames marginalized the toothless function and justified not integrating it into core operations.

Importantly, this suggests further complexity inherent in the relationship between structure and misconduct as posited by the pressure/opportunity model of organizational misconduct: that the pressure and opportunity that sets the stage for misconduct is mediated by the degree to which organizational compliance structures are decoupled from core organizational activities and the concomitant ways compliance and rule-breaking are framed. This idea builds on the work of Weaver et al. (1999), by proposing that organizational misconduct is one outcome of decoupling compliance programs from other core organizational activities.

Finally, insights into decoupling have implications for neo-institutional theory. While neo-institutionalism theorizes that decoupling enhances organizational legitimacy and thus survival (Scott, 1995) this study suggests that the decoupling of an organization's compliance structures creates a paradox of legitimacy: the organization gains legitimacy from its external stakeholders because it implements the required formal compliance structure, but the compliance structure itself is de-legitimized in the eyes of internal organizational members by virtue of its decoupled nature. So while decoupling may in fact enhance survival and legitimacy in the short-term, this success may be at the expense of solid business practices. The longer-term results of decoupling may be the institutionalization of organizational misconduct, and the undermining of organizational legitimacy.

If this is so, then increasing regulations may not be sufficient to solve the problem of organizational misconduct. More rules and regulations may mollify public policy makers and the investing public, but if such standards are not fully integrated into the business of the corporation, they may offer a false sense of security while cloaking misconduct. Instead, organizational leaders must have real incentive to integrate programs designed to ensure regulatory compliance: perhaps consequences for regulatory violations that have real teeth. It would appear that the televised CEO "perp walks" of the past year are attempting to provide just such incentives.

In summary, studying organizational misconduct from a symbolic interactionist perspective has yielded a theoretical explanation that both challenges and extends the prevailing

pressure/opportunity model of organizational misconduct. In support of that model, this research demonstrates that compliance structures that are decoupled from other important organizational functions create opportunity for misconduct. However, rather than demonstrating rational, calculated behavior on the part of self-interested individuals, it shows how organizational misconduct is facilitated frames that de-legitimize the compliance structure itself and reinforce its separation from the core business functions. This research lays further theoretical and empirical groundwork for understanding the role of symbolic processes in organizational misconduct and implies that misconduct may have as much or more to do with unreflecting reliance on taken-for-granted social constructions as it does on the self-interested and amoral nature of actors.

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